Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

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Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	Mark
2 (c)	**AO1 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	Mark
2 (d)	**AO1 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

12

Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**AO1 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

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Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Break-even: meaning, charts and usefulness

Answer 1 of 12 · Question 2 part d · 3 marks

2025 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part a.iv in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Break-even: meaning, charts and usefulness

Answer 2 of 12 · Question 1 part a.iv · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Pay suppliers later** **A –** this is not correct because it will decrease cash-flow **B** – this is not correct because it could increase cash-flow in the long-term but not immediately **C** – this is not correct because it will decrease cash-flow	**(1)**

Question Number	Which **one** of the following is an example of primary market research? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Postal survey** **A –** this is not correct because it is an example of secondary market research **C –** this is not correct because it is an example of secondary market research **D** - this is not correct as it is an example of secondary market research	**(1)**

Question Number	Which **one** of the following is a fixed cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A – Rent** **B** – this is not correct because it is a variable cost **C** – this is not correct because it is a variable cost **D** – this is not correct because it is a variable cost	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is used to calculate the break-even point? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is D – Fixed costs ÷ (selling price – variable costs)** **A –** this is not correct because it is does not calculate the break-even point **B –** this is not correct because it is does not calculate the break-even point **D –** this is not correct because it is does not calculate the break-even point	**(1)**

Question Number	Which **one** of the following is the total cost in euros of buying 2 weeks of salmon? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – €448.58** **A –** this is not correct because it is the cost of 10kgs of salmon in pounds **B –** this is not correct because it is the cost of 10kgs of salmon in euros **C –** this is not correct because it is the cost of 20kgs of salmon in pounds	**(1)**

Question Number	Which **one** of the following is the markup of prawns? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – 19.1%** **A –** this is not correct because it is the cost of a kilogram of prawns as a percentage **B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage **D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Define the term **job production** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • When an item is made and finished before the next one is started **(1)**	**(1)**

Question Number	Define the term **diseconomies of scale** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • Rising average costs as units increase **(1)**	**(1)**

Question Number	State **one** method *Can Culleretes* could use to collect quantitative market research. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.* • *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Calculate the net cash flow for *Can Culleretes*. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 4 600 – 3 000 **(1)** = 1 600 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business of improving communication with its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.iv in this mark scheme extract

Question Number	Analyse the likely impact on productivity if *Can Culleretes* launch this app. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The app means waiters do not have to take orders at the customer's table • As soon as customers place the order the kitchen will receive the order immediately **AO3** • This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders • This will increase productivity as it will make for a more efficient ordering system for the restaurant	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Break-even: meaning, charts and usefulness

Answer 3 of 12 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.iv in this mark scheme extract

Question Number	State **one** impact that government legislation could have on *Can Culleretes*. **Answer**	**Mark**

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 4 of 12 · Question 1 part b · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.vi in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.vi in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.vi in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.vi in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 5 of 12 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.vi in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 2 of 8 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 3 of 8 · find part a.vi in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 4 of 8 · find part a.vi in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 5 of 8 · find part a.vi in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 6 of 8 · find part a.vi in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 7 of 8 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 6 of 12 · Question 1 part a.vi · 1 mark

2023 NOV · Paper 02 · extract 8 of 8 · find part a.vi in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	**Mark**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 1 of 9 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** Remuneration **A** – is not the correct answer as job enrichment is a non-financial method used to motivate employees **B** – is not the correct answer as job rotation is a non-financial method used to motivate employees **C** – is not the correct answer as autonomy is a non-financial method used to motivate employees	**(1)**

Question Number	Which **one** of the following is an example of secondary research? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is A –** Government reports **B** – is not the correct answer as a survey is a primary method of market research **C** – is not the correct answer as a focus group is a primary method of market research **D** – is not the correct answer as an observation is a primary method of market research	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 2 of 9 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following would increase the break-even point? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – An increase in the variable costs **A** – is not the correct answer as a decrease in fixed costs will lower the break-even point **C** – is not the correct answer as an increase in the selling price will lower the break-even point **D** – is not the correct answer as a decrease in total costs would lower the break-even point	**(1)**

Question Number	Which **one** of the following is provided by a person applying for a job? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Curriculum vitae (CV) **A** - is not the correct answer as a job description is provided to a job applicant by a business **C** – is not the correct answer as a person specification is provided to a job applicant by a business **D** – is not the correct answer as disciplinary and grievance procedures will be supplied to the successful candidate	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 3 of 9 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the operating profit in 2023? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is D –** £61 000 **A** – is not the correct answer as £29 000 is the sum of cost of sales and expenses **B** – is not the correct answer as £79 000 is sales minus cost of sales **C** – is not the correct answer as £72 000 is sales minus expenses	**(1)**

Question Number	Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 15.00% **A** – is not the correct answer as 1.30% is 1200/92000 x 100 **B** – is not the correct answer as 13.04% is 12000/92000 x 100 **D** – is not the correct answer as 86.96% is 80000/92000 x100	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder.** • Anyone with an interest in or who is affected by a business	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 4 of 9 · find part a.iii in this mark scheme extract

Question Number	Define the term **social enterprise.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **social enterprise.** • An organisation whose main objective is to be a benefit to society **(1)**	**(1)**

Question Number	State **one** non-current asset that *Saha* is likely to have. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a non-current asset that *Saha* may have. • *Saha* is likely to have machinery which is used to manufacture the robots used in the hospitals **(1)** • *Saha* is likely to have vehicles that are used to deliver robots to the restaurants and hotels **(1)** **NB** Do not accept a non-current asset that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 5 of 9 · find part a.iii in this mark scheme extract

Question Number	Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** **5400 (2)** Or 1 mark for working if correct answer not given: 5 x 90 = 450 **(1)** **OR** 5 x 12 = 60 **(1)** **OR** 450 x 12 **(1)** **OR** 60 x 90 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 6 of 9 · find part a.iii in this mark scheme extract

Question Number	Explain **one** advantage to a business of having limited liability. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having limited liability plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • As the business exists as a separate legal entity **(1)** if the business goes into debt **(1)** this means the business owners are protected from losing their personal assets **(1)** • The business may raise large amounts of finance through selling shares **(1)** as investors only risk losing the value of their shares if the business fails **(1)** therefore the added finance will help the business to expand **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a business of having limited liability with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 7 of 9 · find part a.iii in this mark scheme extract

Question Number	Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Saha* could conduct interviews with current customers who use the robots in hospitals to understand how moving supplies between departments could be improved • Focus groups could be formed which include customers from restaurants and hotels to discuss potential new features of the robots **AO3** Feedback from interviews will help *Saha* design robots which are better suited to the needs of its customers based in the hospitals • The discussions in the focus groups may give *Saha* ideas on how to improve the function of the robots to meet the requirements of its customers	**(6)**

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 8 of 9 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 7 of 12 · Question 1 part a.iii · 1 mark

2024 NOV · Paper 01 · extract 9 of 9 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why branding is important to *Saha.* **Answer**	**Mark**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part a.i in this mark scheme extract

Question Number	Define the term **public corporation.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part a.i in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part a.i in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part a.i in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 8 of 12 · Question 1 part a.i · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part a.i in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	**Mark**

Type MS · Break-even: meaning, charts and usefulness

Answer 9 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of profit. • Profit is the difference between total revenue and total costs **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying an impact of an increase in interest rates on *Backyard Shoez.* One further mark for outlining it in the context of the business. *Backyard Shoez* could see a decrease in sales of shoes **(1)** because their customers who have debts have less income to spend on luxury items because they are paying more back to lenders **(1).** **NB** Do not accept a reason that is not in context of *Backyard Shoez*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 100 000/ (4 300 – 3 500) OR 100 000/ 800 **(1)** = 125 shoes **(1).** NB: Alternatively if candidates have worked out revenue instead of number of shoes then marks can be awarded for calculating break even revenue: 125 x 4 300 = 537 500Ks **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 9 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* will be able to see that it needs to sell 125 pairs before it can break-even. • *Backyard Shoez* can ask 'what if' questions and see what impact various price changes have on the break-even point. **AO3** • This will enable *Backyard Shoez* to know if they are breaking even and moving into profit. • They can raise or lower the price to become more competitive with other shoe shops.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Break-even: meaning, charts and usefulness

Answer 9 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding is a quick way to raise finance to buy new shoes/latest fashion. • Option 2 – An overdraft allows *Backyard Shoez* a temporary facility to withdraw funds from its bank to buy the required amount of stock. **AO3** • Option 1 – They could also pay the investors with products rather than a financial reward which could help cash flow. • Option 2 – If *Backyard Shoez* chooses an overdraft it gives them flexibility and they only pay interest when overdrawn. **AO4** • Option 1 – Crowdfunding is a high risk way of trying to obtain finance, this could result in *Backyard Shoez* not being able to raise sufficient funds to buy the additional stock required therefore impacting on its expansion plans. • Option 2 – The bank can demand repayment at any time and interest rates on overdraft are usually high.	**(9)**

Type MS · Break-even: meaning, charts and usefulness

Answer 9 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Break-even: meaning, charts and usefulness

Answer 9 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of e-tailers. • The use of electronic systems to sell goods/services (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *HRMW* would use robotics in its production, plus 1 further mark for linking it to the context of the question. • *HRMW* uses robots in the manufacture of these sportswear because they are more accurate than employees (1) reducing the number of errors in the products distributed to customers (1). They work 24/7 without having a break (1), which means that more sports products are made (1). **NB** Do not accept a reason that is not in the context of *HRMW*. **Accept any other appropriate response.**	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 5 000 – 3 000 = 2 000 (1) 300 000/2 000 = 150 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Using break-even charts assumes that all the tennis racquets are sold. • The simple chart assumes that the costs and revenues for the tennis racquets can be represented by a straight line. **AO3** • The chart does not show if some of the tennis racquets are kept as stock items or if some of them remain unsold. • There may be other factors that need to be considered. Increased output may involve paying staff additional wages to produce more tennis racquets.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – *HRMW* has the retained profit and this could be used straight away to pay for the R&D for the tennis racquets. • Option 2 – Selling off assets that *HRMW* owns and no longer uses makes good business sense. **AO3** • Option 1 – Because *HRMW* has retained profits the manufacture of tennis racquets can begin immediately and bring in revenue. • Option 2 – Selling assets means that *HRMW* has another source of finance and does not need to use retained profit or take out a loan. **AO4** • Option 1 – However, there may be insufficient retained profit and *HRMW* would then have to take out a loan which could be expensive. • Option 2 – However, if *HRMW* sells assets there is no guarantee that it can do so in time, which means it may have to find alternative sources of funds thereby, wasting time producing the tennis racquets for sale.	**(9)**

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Break-even: meaning, charts and usefulness

Answer 10 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

3 (a)	A01 - 1 mark Award 1 mark for a correct definition of remuneration. • Money paid for work or a service (1)	**(1)**

Question Number	Outline one reason why NOF would choose to use seasonal staff when harvesting its products Answer	Mark
3 (b)	A02 - 2 marks Award 1 mark for identifying a reason why NOF would choose to use seasonal staff, plus 1 further mark for linking it to the context of the question. • As a farm NOF will harvest different crops at different times (1) demand will then increase for seasonal workers at those times (1) NB Do not accept a reason that is not in the context of NOF. Accept any other appropriate response.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	A02 - 2 marks 2.50 – 1.10 = 1.40 (1) 77÷1.40 = 55 (1) OR 77 ÷ 1.40 (1) = 55 (1)	Award 1 mark for correctly substituting numbers into formula. Award two marks for correct numerical answer without working.	**(2)**

Question Number	Analyse how useful break-even calculations can be for NOF when deciding whether to include ice cream in its product range Indicative content	Mark
3 (d)	AO2 = 3 marks AO3 = 3 marks AO2 • NOF can see that it will need to sell 55 ice creams each day to break even. • NOF can use this information to decide if it can sell 55 tubs a day, 365 days a year. AO3 • It will help NOF to see at what point it starts making a profit and can ask 'what if' questions to see what impact it has on the break-even point. • This might stop NOF from making ice creams as it may not be able to sell 55 tubs all year round.	**(6)**

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	To do this NOF is considering two options: Option 1: handing out questionnaires at local retailers Option 2: using the internet to research other farms. Justify which one of these two options NOF should choose. Indicative content	Mark
3 (e)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – Questionnaires will let NOF approach potential customers face to face to see what will attract them to visit the farm. • Option 2 – NOF can view a large selection of websites to look at other farms and gather information. AO3 • Option 1 – NOF can ask specific questions which will give it detailed feedback that it can use to help attract more customers to its farm. • Option 2 – It will be less time consuming/costly as it can see what other farms offer already and compare it to its own to see if it can improve based on this information. AO4 • Option 1 – However, NOF may not get all of the information it requires or people may not want to fill in the questionnaires whilst they are shopping so it might not be very helpful/limited feedback. • Option 2 – However, NOF may end up spending a lot of time looking at feedback or outdated information which will not be very useful for it and it is not gaining specific feedback on its own farm.	**(9)**

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Break-even: meaning, charts and usefulness

Answer 11 of 12 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Break-even: meaning, charts and usefulness

Answer 12 of 12 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **fringe benefits**. • Additional benefits over and above the normal wage or salary **(1)**	**(1)**

Question Number	Outline **one** way *Irsi Chocolatier* could keep customer loyalty. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Irsi Chocolatier* could keep customer loyalty, plus 1 further mark for linking it to the context of the business. • *Irsi Chocolatier* could promote their chocolates **(1)** by introducing a new range of flavours **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the current ratio. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 26 000/14 852 **(1)** = 1.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Break-even: meaning, charts and usefulness

Answer 12 of 12 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Break-even charts make the assumption that all of the new chocolate lollipops will be sold • The chart shows the costs for the chocolate lollipops as a straight line not taking into account other costs that may occur along the way **AO3** • This could lead to false data as it does not take into account any wasted or damaged stock not sold • This could lead to overspending if *Irsi Chocolatier* have not taken into account other costs or if customers do not like the new product	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Break-even: meaning, charts and usefulness

Answer 12 of 12 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering two options: **Option 1:** train the new employee on-the-job **Option 2:** train the new employee off-the-job. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Offering on-the-job training allows the new employee to see current chocolate making techniques • **Option 2** – Offering off-the-job training allows the new employee to learn new techniques of producing chocolates from lecturers at a college **AO3** • **Option 1** – This may increase the levels of production as the employee will be producing whilst training allowing *Irsi Chocolatier* to meet the increased demand • **Option 2** – Therefore the new employee could bring new ideas into the business making it more efficient producing more in less time **AO4** • **Option 1** – However, as *Irsi Chocolatier* only has 3 employees there may not be someone who can dedicate the time to train the new employee to the standard required • **Option 2** – However, this can be costly as the employee will have to attend an external course rather than learn on the job	**(9)**

Level	Mark	Descriptor

Type MS · Break-even: meaning, charts and usefulness

Answer 12 of 12 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Break-even: meaning, charts and usefulness

Answer 12 of 12 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**